

Based upon the foregoing, Plaintiff does not have standing, as a shareholder, to pursue any of the asserted five causes of action. Accordingly, the Demurrer on this ground is well taken and is sustained.

Res Judicata

Res judicata precludes relitigation of matters that were, or could have been, resolved in an earlier judicial proceeding. (*Pitzen v. Superior Court* (2004) 120 Cal.App.4th 1374, 1381.) “ ‘It preserve[s] the integrity of the judicial system, promote[s] judicial economy, and protect[s] litigants from harassment by vexatious litigation.’ ” (Id.; see also *Mycogen Corp. v. Monsanto Co.* (2002) 28 Cal.4th 888, 896–897 [doctrine prevents “piecemeal litigation”].) California law focuses “on the ‘primary right’ at stake: if two actions involve the same injury to the plaintiff and the same wrong by the defendant then the same primary right is at stake even if in the second suit the plaintiff pleads different theories of recovery, seeks different forms of relief and/or adds new facts supporting recovery.” (*Eichman v. Fotomat Corp.* (1983) 147 Cal.App.3d 1170, 1174.)

Claim preclusion “bar[s] relitigation of [a] claim altogether” where a second suit involves: “(1) the same cause of action (2) between the same parties [or those in privity with them] (3) after a final judgment on the merits in the first suit.” (*DKN Holdings* (2015) 61 Cal.4th 813, 824.)

“ ‘In California the phrase “cause of action” is often used indiscriminately ... to mean counts which state [according to different legal theories] the same cause of action’ [Citation.] But for purposes of applying the doctrine of res judicata, the phrase ‘cause of action’ has a more precise meaning: The cause of action is the right to obtain redress for a harm suffered, regardless of the specific remedy sought or the legal theory (common law or statutory) advanced.” (*Boeken*, 48 Cal.4th at 798.)

“A clear and predictable res judicata doctrine promotes judicial economy. Under this doctrine, all claims based on the same cause of action must be decided in a single suit; if not brought initially, they may not be raised at a later date.” (*Mycogen*, 28 Cal.4th at 897; *Federal Home Loan Bank of San Francisco v. Countrywide Financial Corp.* (2013) 214 Cal.App.4th 1520, 1527 [“Res judicata bars a cause of action that was or could have been litigated in a prior proceeding”], italics added; *Mycogen*, 28 Cal.4th at 897 [“ ‘ “Res judicata precludes piecemeal litigation by splitting a single cause of action or relitigation of the same cause of

		action on a different legal theory or for different relief.” ‘ ’.] “ ‘If the matter was within the scope of the action, related to the subject matter and relevant to the issues, so that it could have been raised, the judgment is conclusive on it despite the fact that it was not in fact expressly pleaded or otherwise urged. ... The reason for this is manifest. A party cannot by negligence or design withhold issues and litigate them in consecutive actions.’ ” (<i>Tensor Group v. City of Glendale</i> (1993) 14 Cal.App.4th 154, 160.) The elements of res judicata are satisfied here as this Complaint hinges on whether Plaintiff is a shareholder. That claim was resolved and any attempt to re-raise this issue would require re-litigation of The Family Trust and the Lucik Trust. Accordingly, this action is barred by res judicata and the demurrer is sustained. <u>Leave to Amend</u> On demurrer, a court determines whether the complaint states facts sufficient to constitute a cause of action. If the court sustains the demurrer, it must decide whether to grant leave to amend. Leave to amend should be granted if there is a reasonable possibility that the defect can be cured by amendment. Plaintiff has the burden of proving that there is a reasonable possibility that the defect can be cured by amendment. (<i>Blank v. Kirwan</i> (1985) 39 Cal.3d 311, 318.) The court has difficulty seeing how Plaintiff can amend to correct the deficiencies identified in this ruling. Nevertheless, given California’s liberal rules concerning the amendment of pleadings, and given that this is the first demurrer, Plaintiff is granted leave to amend. Should Plaintiff desire to file an amended complaint that addresses the issues in this ruling, Plaintiffs shall file and serve the amended complaint within 30 days of service of the notice of ruling. Moving Party to give notice.
4	Diaz vs. Toyota Motor Sales, U.S.A., Inc.	TENTATIVE RULING: For the reasons set forth below, Defendant Toyota Motor Sales, U.S.A., Inc.’s demurrer to the sixth cause of action (fraudulent inducement-concealment) of the complaint by Plaintiff Ramon Diaz, Jr. is SUSTAINED with 30 days leave to amend. Defendant Toyota Motor Sales, U.S.A., Inc.’s motion to strike portions of the complaint by Plaintiff Ramon Diaz, Jr. is GRANTED with 30 days leave to amend.